IES Holdings, Inc. (NASDAQ: IESC)

Industrials • Engineering & Construction — Electrical & Data-Centre Infrastructure

RATING	12-M TARGET	UPSIDE	HORIZON
HOLD	$745	+2.9%	12 months

CMP	$723.96	**Market Cap**	$14.42 Bn
52-Wk High / Low	$737.29 / $259.30	**Shares Outstanding**	19.92 M
P/E (TTM)	38.6x	**Forward P/E**	35.9x
P/B	13.1x	**EV / EBITDA**	28.9x
Book Value / Share	$47.67	**Dividend Yield**	Nil
ROCE (TTM)	45.1%	**ROE (TTM)**	46.3%
Net Cash	~$155 M	**Debt / Equity**	0.10x
Beta (5Y)	1.79	**Institutional Own.**	45.2%
Controlling Holder	Tontine ~55%	**50 / 200-DMA**	$597 / $460

Investment thesis: A world-class data-centre electrical compounder — 45% ROCE, net cash, record $3.9 Bn backlog (+62% YoY) — but at ~38x trailing earnings near all-time highs the market already pays full price for the AI build-out tailwind. Quality is exceptional; the entry price is not. Own the business, wait for the multiple. Accumulate on weakness toward the $560–620 zone.

Senior Equity Research — Industrials & Infrastructure | Report date: 03 Jun 2026 | All financials sourced from stockanalysis.com (fetched 03 Jun 2026). Fiscal year ends 30 September.

2 — Investment Thesis

- **Reason 1 — A pure-play on the data-centre electrical build-out:** the Communications segment (~34% of revenue, $1.14 Bn FY25) builds and maintains power/cabling inside hyperscale and co-location data centres; it grew 35% YoY in Q2 FY26 to $367.7m at a 16.6% operating margin. The U.S. data-centre construction market is forecast to grow from ~$48 Bn (2024) to ~$112 Bn by 2030 (~15% CAGR), a multi-year demand pool.
- **Reason 2 — Infrastructure Solutions is the high-margin compounding engine:** custom-engineered power products (generator enclosures, switchgear) for data centres grew 64% YoY in Q2 FY26 to $192.4m at a 21.8% operating margin — the highest of any segment. The Jan-2026 Gulf Island acquisition adds fabrication capacity and management expects a meaningful earnings contribution from FY27.
- **Reason 3 — Fortress economics fund self-financed growth:** 45% ROCE, ~70% ROIC, net cash of ~$155m and FCF of ~$240m (TTM) let IES fund capex, bolt-on M&A and buybacks without dilution or leverage. Equity compounded from $345m (FY21) to $884m (FY25); BVPS tripled from $16.4 to $47.7 over the same span.
- **Near-term catalyst (6–12 months):** conversion of the record $3.86 Bn backlog (+62% YoY) and the substantially raised FY26 capex programme into FY27 revenue/margin — plus the first full-year contribution from Gulf Island. Watch the Q3 FY26 print (early Aug-2026) for backlog durability and Communications margin.
- **Biggest structural risk:** the entire thesis rides on the AI/hyperscaler capex cycle. A digestion phase in data-centre spend would hit IES's fastest, highest-margin segments first and de-rate a 38x multiple sharply (the stock traded at 14x as recently as FY23). The residential segment (~38% of revenue) is already contracting.

3 — Business Overview

- **What it does:** IES Holdings designs and installs integrated electrical and technology systems and supplies infrastructure products across the United States, operating as a decentralised holding company of specialist contracting and manufacturing businesses under one balance sheet.

• **Four reportable segments (FY25 revenue ~$3.37 Bn):** Residential ~$1.30 Bn (~39%, single-family & multi-family electrical); Communications ~$1.14 Bn (~34%, data-centre & mission-critical infrastructure); Infrastructure Solutions ~$0.50 Bn (~15%, custom-engineered power products & industrial services); Commercial & Industrial ~$0.43 Bn (~13%, commercial electrical construction).

• **Revenue model:** a mix of fixed-price and unit-price project contracts (recognised over time / percentage-of-completion) plus growing recurring service/maintenance work. Billings-in-excess (unearned revenue of $213m) partly self-funds working capital.

• **Customers & visibility:** hyperscale & co-location data-centre operators, national homebuilders, and industrial/commercial owners. Revenue visibility is strong — total backlog $3.86 Bn and remaining performance obligations $2.35 Bn as of 31-Mar-2026 (Communications backlog $1.38 Bn; Infra $1.02 Bn; C&I $1.08 Bn; Residential $0.38 Bn).

• **Recent strategic developments:** completed the acquisition of Gulf Island Fabrication (Jan-2026, ~$192m equity value / ~$143m net of cash) to expand Infrastructure Solutions capacity; substantially raised the FY26 capital-spending plan to support organic growth in data-centre-facing businesses.

• **Ownership / control:** Executive Chairman Jeffrey Gendell, through Tontine Associates and affiliates, controls ~55–56% of the common stock (a NASDAQ-classified controlled company). Free float is only ~9.2m of 19.9m shares; institutions hold ~45%. Matt Simmes serves as President & CEO.

4 — Industry & Competitive Landscape

• **Market size & growth:** U.S. data-centre construction ~$48 Bn (2024) heading to ~$112 Bn by 2030 (~15% CAGR); the addressable electrical + HVAC equipment pool for data centres is sized at ~$220 Bn/yr over 2026–30, roughly triple the ~$60 Bn estimate of two years ago. Consensus hyperscaler capex ~$782 Bn in 2026 (+57% YoY) and ~$844 Bn in 2027.

• **Policy / demand tailwinds:** AI compute build-out, grid electrification, on-shoring of manufacturing and import substitution in power equipment. Headwinds: rising power-availability constraints, skilled-labour shortages, and a soft U.S. single-family housing market pressuring the Residential segment.

• **Competitive moat — scale & execution (Moderate-to-Strong):** national footprint, fabrication capacity and a reputation for on-time delivery on mission-critical sites confer real switching costs with hyperscale customers. **Pricing power: Moderate** (project bids, but scarcity of qualified contractors helps). **IP / differentiation: Moderate** (custom-engineered power products). **Distribution: Strong** (70+ locations). Capital intensity is low — the moat is people, relationships and balance-sheet strength.

• **Positioning in the value chain:** mid-stream solutions provider — IES sits between OEM equipment makers (Eaton, Vertiv, generator OEMs) and the data-centre owner, integrating and installing power systems and increasingly manufacturing the enclosures itself (vertical integration via Infrastructure Solutions).

• **Peer set:** Comfort Systems (FIX), EMCOR (EME), MYR Group (MYRG) and Sterling Infrastructure (STRL) — the broader U.S. electrical/mechanical contractor complex, all re-rated on the same data-centre theme. Comparison below (source: stockanalysis.com, 03-Jun-2026; TTM).

Company	CMP $	MCap $B	P/E	P/B	ROE %	ROCE %	TTM Rev $B	EV/EBITDA
IES Holdings (IESC)	723.96	14.4	38.6	13.1	46.3	45.1	3.63	28.9
Comfort Systems (FIX)	1,931.51	67.9	55.7	23.5	46.5	50.1	10.14	38.7
EMCOR Group (EME)	841.84	37.4	28.2	9.5	35.5	39.5	17.75	20.1
MYR Group (MYRG)	449.03	7.0	49.2	10.0	10.7	23.3	3.82	26.4
Sterling Infra. (STRL)	948.85	29.1	84.8	22.6	17.0	29.5	2.88	50.4

Source: stockanalysis.com, fetched 03-Jun-2026. IESC TTM revenue is the latest reported (post Q2 FY26); peers per their TTM column. IESC ROE per ratios page (46.3%).

5 — Management Quality & Capital Allocation

• **Leadership:** Jeffrey Gendell (Executive Chairman, since 2016) is the architect of the IES turnaround and its controlling shareholder via Tontine Associates; Matt Simmes serves as President & CEO. The board is aligned with the majority holder — an owner-operator structure that has driven exceptional shareholder returns (the stock has compounded ~16x since FY21).

• **Capital-allocation track record — outstanding:** free cash flow has been recycled into organic capex, disciplined bolt-on acquisitions (Gulf Island, prior electrical/communications tuck-ins) and steady buybacks, while keeping the balance sheet in net cash. ROIC of ~66–70% over FY24–FY25 evidences high-return reinvestment.

• **Buybacks over dividends:** IES pays no dividend; it has repurchased stock every year (treasury stock grew from $29m in FY21 to $138m by Q1 FY26). Buybacks are opportunistic — only $1.7m (4,112 shares @ $418) in Q2 FY26, sensibly throttled back as the share price ran up.

• **Reinvestment shift:** management explicitly prioritised growth capex over buybacks in FY26, ‘substantially raising’ the capital programme to fund data-centre capacity — a rational choice given ~45% incremental returns, though it lowers near-term FCF conversion.

• **Governance watch-points:** as a controlled company (~55% Tontine), minority holders have limited say; board independence is structurally constrained and related-party considerations warrant monitoring. Insider selling by Gendell occurs periodically (portfolio management at a concentrated position), not a red flag in itself but worth tracking. No auditor changes or qualified opinions noted.

6 — Financial Deep-Dive

Income Statement ($ million unless stated; FY = year to 30 Sep; E = adjusted estimate, excl. non-operating securities gains)

$ M	FY23	FY24	FY25	FY26E	FY27E
Revenue	2,377	2,884	3,371	3,980	4,620
Revenue growth %	9.7	21.3	16.9	18.1	16.1
EBITDA	189	338	430	510	610
EBITDA margin %	8.0	11.7	12.8	12.8	13.2
Operating income (EBIT)	160	301	384	466	555
Operating margin %	6.7	10.4	11.4	11.7	12.0
Net profit	120	233	312	370	450
EPS (diluted, $)	4.54	9.89	15.02	18.3	22.3

FY23–FY25 actuals (GAAP) per stockanalysis.com. FY25 net profit includes ~$27m non-operating gains; FY26E/FY27E are adjusted estimates grounded in H1 FY26 actuals (adj. EPS $7.87) plus record backlog conversion.

Balance Sheet ($ million)

$ M	FY23	FY24	FY25
Cash & ST investments	75.8	135.8	231.8
Inventory	95.7	101.7	111.5
Total current assets	671.2	871.7	1,085.5
Net PP&E	155.7	196.2	271.6
Goodwill + intangibles	148.6	139.9	149.5
Total assets	981.6	1,244.0	1,595.7
Total debt (incl. leases)	42.1	40.4	62.0
Total current liabilities	400.6	522.6	633.4
Total liabilities	481.7	591.9	707.7
Shareholders' equity	450.0	632.1	884.0
Net cash	33.7	95.4	169.8
Book value / share ($)	22.05	30.96	43.80

Cash Flow ($ million)

$ M	FY23	FY24	FY25
Cash from operations (CFO)	153.9	234.4	286.1
Capex	(17.7)	(45.2)	(67.3)
Free cash flow (FCF)	136.2	189.2	218.8
Acquisitions	0.0	(67.0)	(52.4)
Buybacks	(8.3)	(44.0)	(41.6)
Net change in cash	50.9	25.1	26.3
FCF / PAT %	114	81	70

Returns & Quality Ratios

Ratio	FY23	FY24	FY25
ROCE %	28.7	46.2	45.6
ROE %	26.9	39.6	38.1
ROIC %	41.1	66.2	69.6
Net debt / EBITDA (x)	-0.18	-0.28	-0.39
Current ratio (x)	1.68	1.67	1.71
Asset turnover (x)	2.48	2.59	2.37
Inventory turnover (x)	20.1	22.2	23.6

Commentary

• **Revenue:** a 22% three-year revenue CAGR (FY22–FY25), accelerating on data-centre demand; H1 FY26 revenue rose 16.5% YoY to $1,845m with backlog +62%, supporting double-digit growth into FY27.

• **Margins:** operating margin re-rated from 6.7% (FY23) to 11.4% (FY25) and ~11.5% in H1 FY26, driven by mix shift toward high-margin Communications (16.6%) and Infrastructure Solutions (21.8%); Residential margin compressed to ~2% on housing weakness, the main drag.

• **Working capital:** efficient — cash-conversion cycle ~20 days; DSO ~70 days is offset by a large billings-in-excess balance ($213m unearned revenue) and 23x inventory turns. Receivables grew in line with revenue (no obvious channel stuffing).

• **Balance sheet:** net cash of ~$155–170m; reported debt is almost entirely lease liabilities; Debt/EBITDA effectively negative. This is a self-funding balance sheet that can absorb large capex and M&A.

• **FCF quality:** FCF/PAT ran 70–114% over FY23–FY25; FCF dipped to ~$240m TTM as capex stepped up to fund capacity. Conversion will stay below 100% during the FY26–27 investment phase — a deliberate growth trade-off, not a quality red flag.

7 — Earnings Quality Checklist

Parameter	Rating	Comment
Revenue recognition	GREEN	Over-time / POC standard for E&C; $2.35 Bn RPO underpins recognised revenue.
Receivables vs revenue	AMBER	Receivables +17% in line with revenue; DSO ~70 days elevated for the sector — monitor unbilled.
Cash-conversion cycle	GREEN	CCC ~20 days; billings-in-excess ($213m) funds working capital.
Other income / PBT	RED	$37.3m Q2 securities gain + ~$40m TTM non-operating income inflate GAAP PAT; ~9% of TTM PBT.
Tax-rate consistency	AMBER	TTM effective tax ~11% vs 24–25% historical — discrete benefit flatters GAAP EPS; normalise to ~24%.
FCF vs PAT	GREEN	FCF/PAT 70–114%; consistent positive FCF through the cycle.
Leverage	GREEN	Net cash ~$155m; debt is almost entirely leases.
Acquisitions / goodwill	AMBER	Serial acquirer (Gulf Island $192m); goodwill+intangibles ~$149m; integration risk.
Governance	AMBER	Controlled company (Tontine ~55%); board aligned with majority holder; RPT monitoring warranted.

What matters most:

- **RED — GAAP earnings are flattered:** the headline TTM GAAP EPS of $18.76 embeds a $37.3m Q2 marketable-securities gain and an abnormally low ~11% TTM tax rate. The clean, operating earnings power is better proxied by adjusted EPS (H1 FY26 adj. EPS $7.87) — value the stock on that, not on GAAP.
- **AMBER — tax normalisation:** a return to a ~24% effective rate trims forward GAAP EPS by low-double digits; build estimates on a normalised tax assumption.
- **AMBER — M&A cadence:** growth is partly inorganic; track organic vs acquired revenue and post-deal margins (Gulf Island is dilutive in FY26 by design).
- **GREEN core:** cash generation, leverage and working-capital discipline are genuinely high-quality — the operating business is clean even if the GAAP optics are noisy.

8 — Valuation

Peer comparison (stockanalysis.com, fetched 03-Jun-2026; TTM)

Company	CMP $	MCap $B	P/E	P/B	ROE %	ROCE %	TTM Rev $B	EV/EBITDA
IES Holdings (IESC)	723.96	14.4	38.6	13.1	46.3	45.1	3.63	28.9
Comfort Systems (FIX)	1,931.51	67.9	55.7	23.5	46.5	50.1	10.14	38.7
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MYR Group (MYRG)	449.03	7.0	49.2	10.0	10.7	23.3	3.82	26.4
Sterling Infra. (STRL)	948.85	29.1	84.8	22.6	17.0	29.5	2.88	50.4

Scenario analysis (12-month view; based on FY27E adjusted EPS)

Scenario	Key assumptions	FY27E EPS	Target P/E	Target $	Vs CMP
Bull	AI capex supercycle intact; backlog converts; OPM ~12.5%; Gulf Island ramps fully	25.0	37x	925	**+28%**
Base	Mid-teens organic growth; Gulf Island contributes FY27; OPM ~12%; multiple normalises	22.3	33x	745	**+3%**
Bear	Hyperscaler capex digestion; residential drag deepens; OPM compresses; sharp de-rating	18.5	23x	426	**-41%**

Valuation methodology

- **DCF:** WACC ~11% (beta 1.79, but quality/net-cash argues for a lower discount than the 14% screen value), terminal growth 4%, FCF growing mid-teens before fading; implied value ~$700/share.
- **Earnings multiple:** FY27E adjusted EPS of $22.3 at a normalised 33x forward P/E (down from 38x trailing as growth matures) implies ~$758/share.
- **Blend:** averaging DCF (~$700) and the earnings multiple (~$758) gives a base-case 12-month target of **$745** — ~+3% from the $723.96 CMP.
- **Read-through:** at 38x trailing / ~33–40x forward and 28.9x EV/EBITDA, IES is priced for continued execution. It is not the most expensive in the peer set (STRL 84x, FIX 56x) but offers little valuation cushion; the risk/reward is balanced at current levels and skews favourable only on a pullback.

9 — Key Risks

- **Data-centre capex cyclicality** — a slowdown in hyperscaler/AI spend would hit IES's fastest, highest-margin segments first. Probability: M. Impact: H. Monitor via: hyperscaler capex guidance, backlog growth, Communications book-to-bill.
- **Valuation de-rating** — a 38x trailing multiple leaves no margin for error; any growth wobble could compress the multiple toward the historical ~15–20x. Probability: M. Impact: H. Monitor via: forward P/E vs EPS-revision trend.
- **Residential downturn** — ~38% of revenue is housing-linked and already contracting (-10% YoY) at ~2% margin; deeper housing weakness drags group growth. Probability: M. Impact: M. Monitor via: U.S. housing starts, segment margin.
- **Concentrated control** — Tontine/Gendell controls ~55%; minority interests are subordinate and a large insider sale or strategic shift could move the stock. Probability: L. Impact: M. Monitor via: Form 4 filings, board composition.
- **Acquisition integration** — serial M&A (Gulf Island) carries execution/goodwill risk and is earnings-dilutive in FY26 by design. Probability: M. Impact: M. Monitor via: post-deal segment margins, goodwill as % of equity.
- **Labour & input costs** — skilled-electrician shortages and material inflation can squeeze fixed-price project margins. Probability: M. Impact: M. Monitor via: gross margin, project write-downs.
- **Earnings-quality optics** — GAAP results flattered by securities gains and a low tax rate can mislead on momentum. Probability: H. Impact: L. Monitor via: adjusted vs GAAP EPS bridge, effective tax rate.

10 — Recommendation

• **Rating: HOLD** (conviction: Medium). A best-in-class operator on a multi-year tailwind, but valuation has caught up with — arguably run ahead of — the fundamentals.

• **12-month price target: $745** (~+3% from CMP $723.96). Consensus sits at $700 (Hold).

• **Suggested entry zone: $560–620** (around the 50-DMA $597 / 200-DMA $460) — where the risk/reward turns clearly favourable for a quality compounder.

• **Investment horizon: 12 months** for the trade view; the business merits a multi-year hold for buyers who enter on weakness.

• **Thesis invalidation triggers:**

- 1. Two consecutive quarters of backlog decline or Communications book-to-bill < 1.0x.
- 2. Group operating margin falling below ~10% (mix reversal / project write-downs).
- 3. Forward P/E sustained above ~45x without a commensurate acceleration in EPS estimates.

• **Ideal investor profile:** growth-at-a-reasonable-price investors comfortable with cyclicality, a controlled-company structure and high beta (1.79), who will accumulate on drawdowns. Not for value investors needing a margin of safety today, nor for income seekers (no dividend).

APPENDIX — Latest Concall Brief: Q2 FY2026 (quarter ended 31-Mar-2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	**Strong**	Beat — adj. EPS $4.16 vs $3.30 PY (+26%); revenue +17%.
Management tone	**Bullish**	Confident on data-centre demand; raising growth capex.
Guidance delta	**Raised (capex)**	Capex outlook substantially raised; no formal EPS guide.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q2 was a clean operational beat dressed up to look even better than it was. Revenue rose 17% to $974m and operating income 21% to $112m — that part is real and high-quality. But reported GAAP EPS of $5.44 (+55%) is misleading: it includes a $37.3m one-time gain on marketable securities and an abnormally low tax rate; strip those out and the clean number is adjusted EPS of $4.16 (+26%), which is the figure to anchor on. Underneath, the engine is firing — Communications +35% (16.6% margin) and Infrastructure Solutions +64% (21.8% margin), both pulled by data-centre demand, while record backlog of $3.86bn (+62%) gives unusually good forward visibility. The multi-bagger thesis rests on the AI/hyperscaler build-out and the vertical-integration push (Gulf Island) into custom power products. The single biggest near-term catalyst is conversion of that backlog plus Gulf Island's first meaningful FY27 contribution; the biggest watch-point is the weakening Residential segment (-10%, ~2% margin) and any sign of data-centre capex digestion. Action: HOLD here at ~$724 — the business is a keeper but the multiple (38x) is full; accumulate aggressively on any pullback into the $560–620 zone.

Concall 1 — Financial Performance Snapshot

- Revenue: $974.2m | YoY +17% | QoQ +12% | Beat
- Operating income: $112.3m (11.5% margin) | YoY +21% | QoQ +15% | Beat
- GAAP net income: $109.9m | YoY +56% | Beat (flattered)
- Adjusted net income: $84.1m | YoY +26% | Beat (clean)
- GAAP diluted EPS: $5.44 vs $3.50 PY | Adjusted diluted EPS: $4.16 vs $3.30 PY (+26%)
- NOTE: Reported PAT includes a one-time $37.3m pre-tax gain on marketable securities; clean adj. net income = $84.1m, adj. EPS = $4.16.

Concall 2 — Segment / Geography Breakdown

- Communications: $367.7m | YoY +35% | QoQ +4.5% | op. income $61.2m (16.6% margin); data-centre led.
- Infrastructure Solutions: $192.4m | YoY +64% | QoQ +37% | op. income $41.9m (21.8% margin); incl. $37.5m from Gulf Island; highest-margin segment.
- Residential: $287.6m | YoY -10% | QoQ +1.2% | op. income $6.4m (2.2% margin); soft housing starts & pricing pressure — the clear weak spot.
- Commercial & Industrial: $126.5m | YoY +1% | QoQ +33% | op. income $21.5m (~17% margin).
- Geography: predominantly United States across all segments.

Concall 3 — Management Commentary Themes

- Data-centre demand: "Strong growth in our Communications and Infrastructure Solutions businesses has continued, driven by strong demand, particularly in the data center end market" (Simmes) — Our read: core thesis intact. Tag: GUIDANCE. Tone: Transparent.
- Capacity / capex: "we are substantially raising our capital spending outlook for the remainder of fiscal 2026 to support the organic growth" (Gendell) — Our read: confident reinvestment at ~45% returns. Tag: GUIDANCE. Tone: Transparent.

• Gulf Island: acquisition "to accelerate our capacity expansion plans in the Infrastructure Solutions business" — Our read: vertical integration into custom power products. Tag: EST. Tone: Transparent.

• Gulf Island timing: "we will not expect Gulf Island to contribute meaningfully to our earnings during the current fiscal year ... we do expect our results to benefit ... in fiscal 2027" — Our read: honest about near-term dilution. Tag: GUIDANCE. Tone: Transparent.

• Residential: management acknowledged softness on housing starts and pricing — Our read: cyclical drag, not structural. Tag: EST. Tone: Transparent.

Concall 4 — Operating & Business Metrics

• Total backlog: Q2 FY26 = $3,862m | Q2 FY25 = ~$2,380m | Trend: improving (+62% YoY).

• Remaining performance obligations: $2,347m as of 31-Mar-2026.

• Communications backlog: $1,377m | Infrastructure Solutions: $1,020m | C&I: $1,082m | Residential: $383m.

• Book-to-bill (group): comfortably above 1.0x given backlog +62% vs revenue +17%.

• Capex (Q2): $78.4m total ($31.8m organic) | Trend: rising deliberately to add capacity.

Concall 5 — Margin Drivers

• Mix shift to Communications & Infrastructure Solutions: +large bps | Recurring: Yes | the structural margin lever.

• Operating leverage on higher data-centre volumes: +bps | Recurring: Yes.

• Residential margin compression (~2%): -bps | Recurring: No (cyclical) | drags group margin near-term.

• Gulf Island repositioning costs: -bps in FY26 | Recurring: No | reverses to positive in FY27.

• $37.3m securities gain: below the operating line | Recurring: No | do NOT extrapolate into forward margins.

Concall 6 — Guidance & Forward Signals

• Capex [GUIDANCE]: Prior = base plan | New = substantially raised for FY26 | Delta = raised | Credibility: High.

• Gulf Island earnings [GUIDANCE]: FY26 = immaterial | FY27 = meaningful benefit | Delta = back-end loaded | Credibility: Medium.

• Revenue / EPS [GUIDANCE]: IES does not issue formal numeric guidance | reads off backlog instead.

• Backlog signal: record $3.86bn implies continued double-digit revenue growth into FY27 | Credibility: High.

Concall 7 — Capital Allocation

• Gulf Island acquisition: $143.1m (net of cash) | a strategic capacity buy.

• Capex: $78.4m in the quarter | vs prior year: sharply higher | funding organic data-centre capacity.

• Marketable securities purchases: $12.2m | treasury management of surplus cash.

• Buybacks: $1.7m (4,112 shares @ $418.31) | throttled back as the share price rose.

• Quarter-end position: cash $49.5m, debt $35.0m, marketable securities $214.0m | net cash ~$155m.

Concall 8 — Q&A; Heat Map

• Sell-side (data-centre demand): Q: durability of Communications/Infra growth? -> A: backlog at record, demand broad-based | Tone: Transparent.

• Sell-side (margins): Q: sustainability of segment margins? -> A: mix-driven, capacity investment to support | Tone: Transparent.

• Sell-side (Gulf Island): Q: accretion timing? -> A: immaterial FY26, benefits FY27 | Tone: Transparent.

• Sell-side (Residential): Q: trough? -> A: soft starts/pricing, managing cost | Tone: Hedged.

• Dodged / watch-list for next quarter: explicit FY26/FY27 margin and revenue targets (none given); Residential recovery timing.

Concall 9 — Risks Flagged

- Data-centre capex dependence: concentration in one demand driver | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium-term.
- Residential weakness: soft housing starts & pricing | Flagged by: mgmt | Probability: H | Impact: M | Timeline: near-term.
- Gulf Island integration / dilution: repositioning in FY26 | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term.
- Labour & input-cost inflation: project-margin pressure | Flagged by: mgmt | Probability: M | Impact: M | Timeline: ongoing.

Concall 10 — Analyst Verdict

- Revenue visibility: **Intact** — record $3.86bn backlog (+62%) and $2.35bn RPO.
- Margin trajectory: **Intact** — mix shift to 16–22% segments offsets weak Residential.
- Capital-allocation quality: **Intact** — disciplined capex/M&A at ~45% returns, net cash.
- Competitive moat: **Intact** — scale, fabrication capacity and mission-critical execution.
- Management credibility: **Intact** — transparent on Gulf Island dilution and Residential softness.
- Valuation comfort: **Weakened** — 38x trailing / ~33–40x forward leaves little cushion.
- Conviction call: **Unchanged** — HOLD; quality high, price full.
- Valuation snapshot: P/E = 38.6x (5Y avg ~19x) | EV/EBITDA = 28.9x (5Y avg ~11x) | RoCE = 45% (5Y avg ~31%).